Weekly Note: 9.4.26

The one you got



MITCH CLODFELTER

SEP 04, 2026

> "Life is too short so love the one you got cause you might get runover or you might get shot"
>
> -Sublime

Happy Friday. Once again, it's been an exciting week to be in the grain trade. Price action has been impressive, with a few days of corn and beans getting smoked in the morning then pulling themselves out of it to post moderate daily changes by settlement.

Some say it's commercial selling in the morning, then retail buying it back later. Some may be correct. I would not risk my flat price position by buying grain when the market is closed but that's just me. This seems like a time when you would want to keep your flat price position fairly tight as an elevator or processor.

Nonetheless I am genuinely impressed by the market's refusal to back down without a fight. Readers of this Substack will know that I have been harping on overbought futures for a few weeks now. I will concede that I was early, but not once have I advocated for a straight futures sale or called a top. I have and will continue to advocate for cash sales at these levels, replaced with a board position later, when things are less questionable.



Revenue, Costs, and Returns, 2027 Crop Budgets

	Northern		Central-High		Central-Low		Southern	
	Corn	Beans	Corn	Beans	Corn	Beans	Corn	Beans
Gross revenue	$1,202	$869	$1,242	$941	$1,181	$868	$1,001	$736
Total non-land costs	$881	$508	$885	$534	$873	$515	$876	$532
Operator and land return	$321	$361	$357	$407	$308	$353	$125	$204
Land costs (cash rent)	*$293*		*$321*		*$279*		*$186*	
Farmer return	*$28*	*$68*	*$36*	*$86*	*$29*	*$74*	*-$61*	*$18*
Breakeven price to cover:								
Non-land costs	$3.72	$7.15	$3.61	$6.94	$3.75	$7.25	$4.45	$8.87
Total costs[1]	$4.95	$11.28	$4.92	$11.10	$4.94	$11.18	$5.39	$11.97
Corn - Soybean Returns	-$40		-$50		-$45		-$79	

ILLINOIS

[1] *Equals non-land costs plus land costs.*

farmdoc

My alma mater lays it out cleanly: one can sell multiple years of profitability at these levels. Not a bad place to start, especially in soybeans.

As of today's close ~

Corn

Instrument	Last	Net C...	High	Low	Open Interest	Open	Settlement
ZCU26	512^0	1 -3^2	516^0	511^0	1461	516^0	512^0 S
ZCZ26	536^6	1 -4^0	544^6	535^6	992940	539^0	536^6 S
ZCH27	552^0	2 -4^0	560^0	551^0	369270	554^0	552^2 S
ZCK27	559^2	3 -4^0	567^2	558^4	137028	561^4	559^6 S
ZCN27	561^6	1 -4^2	569^6	561^2	132489	563^4	562^0 S
ZCZ27	535^6	1 -3^0	541^4	535^6	94135	538^2	536^2 S
ZCU27	534^0	5 -3^2	540^2	534^0	54032	535^0	534^6 S
ZCH28	547^0	2 -1^4	550^2	546^0	5278	547^4	546^6 S
ZCK28	551^4	1 -2^0	555^0	551^4	1177	551^6	552^0 S
ZCN28	553^6	2 -1^6	558^0	553^4	1781	557^2	554^0 S
ZCU28	515^4	1 -0^2	516^4	513^4	412	516^4	515^4 S
ZCZ28	513^6	1 -0^4	515^2	510^6	2338	513^4	514^2 S
ZCN29	529^4	P			16		529^4 S
ZCZ29	503^6	1 -2^0	503^6	503^6	91	503^6	506^6 S

Beans

Instrument	Last	Net Change	High	Low	Bid		Ask		Open	Se
ZSU26	1294^2	1 -12^0	1308^0	1294^2	1139^4	5			1308^0	12
ZSX26	1310^2	4 -6^0	1320^6	1305^6	1310^0	2	1310^2	7	1316^0	13
ZSF27	1325^0	1 -6^4	1335^6	1321^2	1325^0	4	1325^4	3	1331^0	13
ZSH27	1331^0	5 -5^6	1340^2	1327^0	1326^6	2	1336^0	1	1336^6	13
ZSK27	1335^2	3 -6^2	1344^6	1331^6	1331^0	1	1336^4	2	1341^4	13
ZSN27	1335^6	2 -7^2	1346^0	1332^6	1335^0	12	1340^0	1	1342^0	13
ZSQ27	1316^6	1 -6^6	1326^2	1313^2					1321^6	13
ZSU27	1273^0	1 -7^6	1281^2	1270^6					1279^6	12
ZSF28	1267^4	1 -7^6	1275^2	1265^2	1090^0	8	1308^0	1	1272^0	12
ZSX27	1257^0	1 -8^6	1267^6	1253^0	1255^0	4	1259^0	3	1264^2	12
ZSH28	1262^6	2 -9^6	1270^0	1262^6	1246^0	1			1270^0	12
ZSK28	1273^2	P								12
ZSN28	1273^2	1 -3^2	1275^6	1273^2	1251^0	1			1274^0	12
ZSQ28	1263^6	P								12

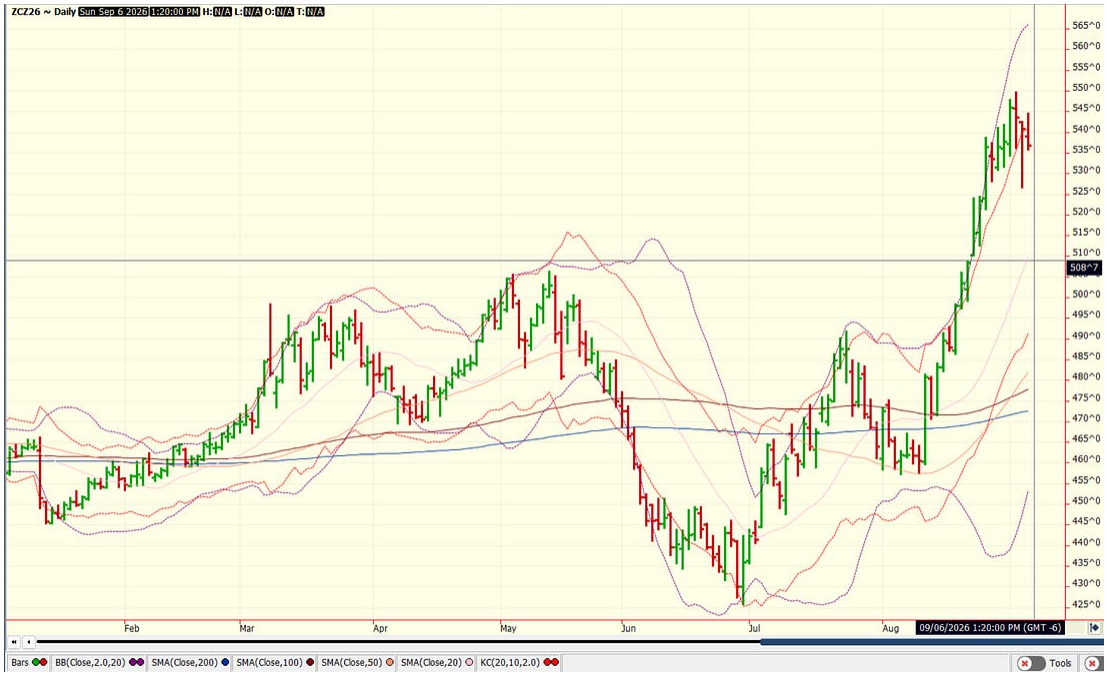
I recognize that these aren't crazy levels for profitability, but any time you call sell above breakeven it's worth doing.

Again, I clarify: CASH SALES. Sleep easy at night knowing the check you're going to get keeps you in the black, then contact your broker for their opinion on how to add to those sales later.

Here's what I'm looking at:

Corn

Dec 26 ~ Daily



Theres a gap at 508-509. It’s a small one, but gaps usually get filled. If price were to fall to these levels and the crop that is being harvested is truly short, you’ll see me flip bullish. I think that likely happens.

ZCZ ~ Weekly



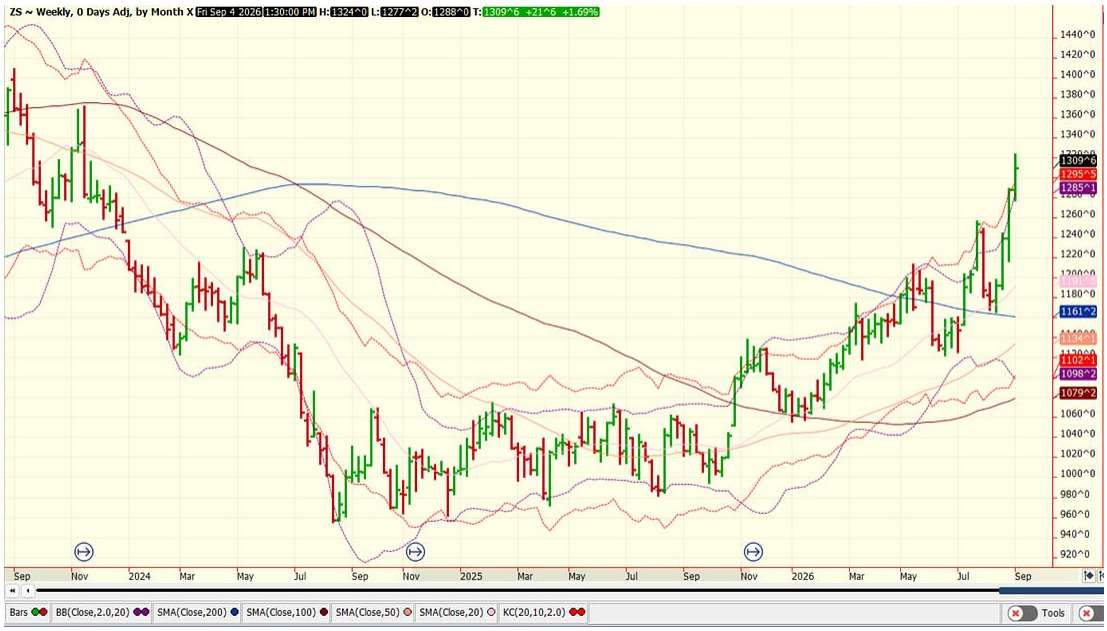
Look at that flag. We closed just a notch higher on the week after trading a large range. Price failed to go higher, it failed to go lower, and it is exactly where it was a week ago. To me that is a precarious position to be in. I think Monday may be a large day for elevator phone calls pricing corn. A gambling man may want to short this signal but picking tops in this market seems like a good way to get blown out.

Those weekly retracement levels are more attractive to me. 502 and 488 are when I start taking a hard look at the market as a long. Momentum decides whether I act. If I do act, I look at building a long option position.

Soybeans

Beans are a different story. I hate them as a lower yield buy, August has been too great (other than this week) for pod fill. Given still beans are beholden to other factors at this time.

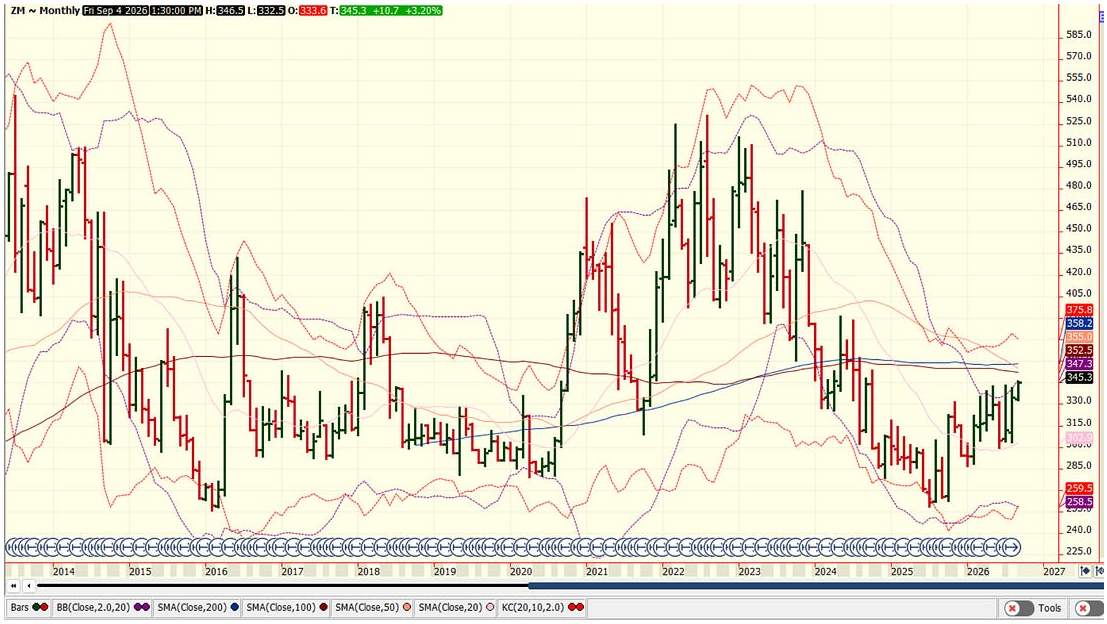
SX ~ Weekly



The weekly chart on beans looks more favorable. It's above resistance to be true, but it has less of the look of slowing.

The reason for that is the soy complex as a whole.

~ Monthly Meal



Soymeal has been helping to support bean prices for some time. And with the uncertainty regarding South America, it looks like there may be a bit more juice left in the bean complex.

It is not a prediction for another $2 move in beans, just that they don't read as the signal the corn market does. Meal may continue to rally while soybeans fall.

It's still stretched. That weekly chart could turn ugly next week in a hurry, or next week could be a week of nothingness that produces the final signal that the bean prices are overcooked for now.

Why not reward yourself with some sales here? Decent carry, decent basis, strong price action.

I think where an operator gets in trouble is selling the futures, then taking the futures off while making no cash sale, then selling the cash at peak depression time.

I've found the margin between depression and euphoria to be way thinner than we give it credit for.

So, love the one you got

Just as sublime pointed out in 1996. Life's short, love the one you got. Don't wait for something better, be thankful for where we are.

This one was lighter on trade recommendations because up to now, my recommendations have been selling the cash and buying the call to participate in a rally. That participation has participated, let's look for the next trade.

Message Mitch Clodfelter

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